



“Overall, the banking industry has experienced favourable conditions, marked by record credit growth and enhancements in asset quality in recent times”

G. CHOKKALINGAM
FOUNDER, EQUINOMICS
RESEARCH AND ADVISORY



“With the government’s focus rising on manufacturing, indigenisation, railways and defence, many PSUs in these segments have seen improvement in their finances”

ALOK AGARWAL
HEAD-QUANT AND
PORTFOLIO MANAGER,
ALCHEMY CAPITAL

spending by the government, and the ‘Make in India’ initiative have helped Magazon Dock Shipbuilders, says A.K. Prabhakar, Head of Research of IDBI Capital Markets. The company’s order book stood at ₹39,117 crore as of June 2023.

In terms of top gainers, Lloyds Metals & Energy came in at No. 2. During the study period, its one-year average m-cap increased 210 per cent to ₹16,569 crore from ₹5,343 crore the year before. Jindal Stainless, another metals firm, delivered 155 per cent growth in its one-year average m-cap at ₹21,057 crore as of September 30, 2023, up from ₹8,265 crore a year earlier. It secured the fifth spot among the top performers.

The surge in domestic infrastructure combined with an upswing in the capital goods sector has generated significant demand for domestic steel and metal companies, according to Kranthi Bathini, Equity Strategist at WealthMills Securities. “These factors have notably supported firms such as Lloyds Metals & Energy and Jindal Stainless,” he says, adding that “the momentum is expected to persist in the upcoming quarters” due to the ongoing capex story and infrastructure spending in India.

Railways infra firm Rail Vikas Nigam Ltd (RVNL), has secured the third spot among the top gainers. Its one-year average market value has surged 180 per cent to reach ₹19,476 crore. Sharing its views on the company’s performance, HDFC Securities stated in a report that railway PSU stocks have enjoyed strong support from the Indian government, which has been providing funding and backing for critical railway infrastructure projects. The steady demand from Indian Railways has kept RVNL’s income steady. Order inflows and the execution of the present order book have been good for the company,

with consultation services increasing margins. The government’s focus on constructing new lines and electrifying rail has increased order inflows and visibility.

This year, the Ministry of Railways has got a budgetary allocation of ₹2.4 lakh crore, accounting for 24.10 per cent of the government’s overall capex.

Separately, with a 159 per cent surge in its one-year average m-cap, The Fertilisers and Chemicals Travancore, has landed at the fourth position among the biggest gainers on the list. Alok Agarwal, Head-Quant and Portfolio Manager at Alchemy Capital Management, says, “With the government’s focus rising on manufacturing, indigenisation, railways and defence, along with improvements in the credit cycle, the bulk of the PSUs in these segments have seen a material improvement in their finances and earnings visibility. All these, coming at historically low valuations, have made the risk-reward paradigm pretty attractive.”

Not too far behind, state-owned lenders Punjab & Sind Bank and UCO Bank, with over 100 per cent growth in their one-year average m-cap, are placed at the sixth and seventh positions, respectively, among the top gainers. G. Chokkalingam, Founder of Equinomics Research and Advisory, explains: “UCO Bank and Punjab & Sind Bank, among other PSU banks, have not only enhanced their profits but also significantly improved the quality of their assets.” Overall, the banking industry has experienced favourable conditions, marked by record credit growth and enhancements in asset quality in recent times. Consequently, “these two PSU banks have outperformed market trends due to their exceptional performance,” he adds.

In FY23, UCO Bank’s net profit jumped by 104 per cent over a year,